

TOTAL KENYA LIMITED

RESULTS FOR THE YEAR ENDED 31 DECEMBER 2005

INCOME STATEMENT

	2005 Kshs'000	2004 Kshs'000
Gross sales	40,547,536	37,628,109
Indirect taxes and duties	(6,998,039)	(5,870,751)
Net sales	33,549,497	31,757,358
Cost of sales	(30,854,791)	(29,148,507)
Gross profit	2,694,706	2,608,851
Other income	185,479	117,130
Depreciation and amortisation	(226,796)	(197,081)
Amortisation of prepaid operating leases	(6,164)	(6,479)
Amortisation of acquisition goodwill	-	(29,920)
Impairment of prepaid operating leases	(16,100)	-
Other operating expenses	(1,548,679)	(1,430,675)
Operating profit	1,082,446	1,061,826
Finance charges, net	(284,256)	(130,188)
Profit before taxation	798,190	931,638
Taxation	(266,629)	(354,631)
Net profit for the year	531,561	577,007
Earnings per share (Basic and diluted) - Kshs	3.04	3.31
Dividend per share - Kshs	2.50	2.50

COMMENTS FROM THE MANAGEMENT

OVERVIEW

2005 has been a very challenging year for the oil industry in Kenya. This very tough international context, including the ongoing turmoil in Iraq and the rise in crude and oil products prices, which led to volatile unit margins all along the year, contributed negatively to the business environment.

On a positive note the inland market for petroleum products in Kenya increased by about 10% in 2005, a growth mainly explained by the recovery in sectors like tourism, telecoms, horticulture, transport, tea and building construction which are high consumers of oil products.

One event had a major impact for the oil industry in Kenya: the introduction on 1st August 2005 of the payment of taxes on oil products at the entry point into the country. This measure has impacted significantly the financial position of industry players and substantially increased the amounts, especially of VAT and customs duties refunds, owed to the oil companies by the Government.

Total Kenya achieved strong results in 2005 despite these contrasted market conditions. Sales volumes increased 5% to 757 KMT in 2005 from 718 KMT in 2004, and inland market share to an estimated 21.8% in 2005 from 20.7% in 2004. In spite of a higher gross profit, Total Kenya's net profit was down 8% to 532 million Kenya Shillings in 2005, due to higher financial expenses generated by a combination of higher interest rates and higher cost of products throughout the year. Consequently net earnings per share went down to 3.04 Kenya Shillings in 2005 from 3.31 Kenya Shillings in 2004.

The financial strategy of our Company, in a very volatile market environment, remained prudent. A lot of efforts were put in controlling the level of stocks and receivables allowing us to keep a stable working capital requirement in spite of the increase of sales and cost of products. The Company invested 695 million Kenya Shillings in 2005, mainly in the Network and LPG segments, and paid dividends of 436 million Kenya Shillings to our shareholders. As a result our cash position went down from a negative 2,777 million Kenya Shillings in 2004 to a negative 2,972 million Kenya Shillings in 2005.

The outlook for 2006 is one of guarded optimism. International prices, interest rates and exchange rates remain volatile, economic growth is unpredictable, and the impact of the recent drought is not yet determined. Our industry is also expected to benefit from a fairer competition if the rules are fully adhered to by all players and expects the Government to set up a reliable system for tax refunds failing which the financial stability of the whole industry will be deeply affected and exports of oil products from Kenya seriously jeopardized.

Our Company is one of the major players of the oil industry and has a large portfolio of projects in all its market segments. Thanks to its solid balance sheet, Total Kenya is well positioned to resist the fluctuations of the business cycle while pursuing a policy of profitable growth in 2006.

PROPOSED DIVIDEND

The Directors are recommending for the approval of the Annual General Meeting the payment of a first and final dividend of KShs 2.50 per share in respect for the year ending 31st December 2005, subject to withholding tax where applicable.

Subject to such approval, the dividend cheques will be posted on or about 22nd May 2006.

ANNUAL GENERAL MEETING

The 52nd Annual General Meeting of Total Kenya Limited will be held on 3rd May 2006 at the French Cultural Centre Auditorium, Nairobi, at 3 p.m.

CLOSURE OF THE SHARE REGISTER

Subject to shareholders approval at the 52nd Annual General Meeting, the share register will be closed on 4th and 5th May 2006 for the purpose of dividend calculation.

By order of the Board

J. L. G. Maonga, Company Secretary
19th March 2006

BALANCE SHEET

	2005 Kshs'000	2004 Kshs'000
ASSETS		
Non-current assets		
Property, plant and equipment	1,977,957	1,529,433
Prepaid operating leases	420,325	412,710
Intangible assets	881	1,105
Goodwill	336,604	336,604
Deferred taxation asset	38,254	50,172
Total non-current assets	2,774,021	2,330,024
Current assets		
Inventories	2,902,972	3,669,985
Accounts receivable	3,209,989	3,498,459
Amounts due from related companies	525,223	749,506
Taxation recoverable	93,709	-
Call deposits	200,000	-
Bank and cash balances	1,067,382	300,815
Total current assets	7,999,275	8,218,765
TOTAL ASSETS	10,773,296	10,548,789
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital	875,324	875,324
Share premium	1,967,520	1,967,520
Revenue reserve	1,773,805	1,242,244
Proposed dividends	-	437,663
Shareholders' equity	4,616,649	4,522,751
Current liabilities		
Trade and other payables	1,471,192	2,560,600
Amounts due to holding company	334,381	341,091
Amounts due to related companies	106,983	11,622
Unpaid dividends	4,469	3,245
Taxation payable	-	31,227
Short term borrowings	4,239,622	3,078,253
Total current liabilities	6,156,647	6,026,038
TOTAL EQUITY AND LIABILITIES	10,773,296	10,548,789

CASH FLOW STATEMENT

	2005 Kshs'000	2004 Kshs'000
OPERATING ACTIVITIES		
Cash generated from/(used in) operations	1,659,512	(911,797)
Interest paid	(345,526)	(67,384)
Interest received	2,291	1,285
Taxation paid	(379,647)	(368,526)
Net cash generated from/(used in) operating activities	936,630	(1,346,422)
INVESTING ACTIVITIES		
Purchase of property, plant and equipment	(719,143)	(351,837)
Purchase of leasehold land	(1,800)	(6,017)
Proceeds on disposal of property, plant and equipment	25,807	13,434
Proceeds on disposal of leasehold land	143	-
Net cash used in investing activities	(694,993)	(344,420)
FINANCING ACTIVITIES		
Sale of treasury shares	-	261,003
Dividends paid	(436,439)	(439,182)
Net cash used in financing activities	(436,439)	(178,179)
Net decrease in cash and cash equivalent	(194,802)	(1,869,021)
Cash and cash equivalent as at 1 January	(2,777,438)	(908,417)
Cash and cash equivalent as at 31 December	(2,972,240)	(2,777,438)

The company's operations were merged with those of its only subsidiary Elf Oil Kenya Limited, with effect from 1 January 2005. For a fair presentation these financial statements have been prepared as if the merger took effect on 1 January 2004 and hence the consolidated balances of the financial statements for the year ended 31 December 2004 have been used as comparative.



TOTAL